Factors Underlying Financial Well-Being: A Young Adult Perspective

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Background

Although financial resources (e.g., income, savings) are typically associated with greater *financial well-being*, objective economic factors alone do not fully account for one's ***perception*** of financial well-being (Johnson & Krueger, 2006).

Because financial instability among young adults is growing and many rely on parents for continuing emotional and financial support (Fingerman et al., 2009; Settersten, 2012), the present study sought to obtain a broader understanding of ***financial well-being as perceived and experienced by young adults***.

Method

The primary research question guiding this study is:

"What are the factors that contribute to young adults' perception of financial well-being?"

Transcribed interviews coded following the steps of content analysis (Weber, 1990).

1) Read through interviews and inductively developed mutually exclusive codes from emerging themes.
2) Grouped the coded data into categories. During this step, consensus meetings were held to assess the reliability of the coders using the same coding schema (κ = .87).
3) Disagreements were discussed until reaching total consensus on themes and categories.
4) After the coding was completed, the themes and categories were merged and findings triangulated (Creswell, 2007).

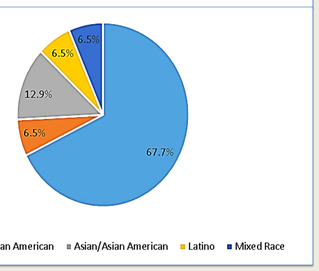
Results

Financial Well-Being (*N* = 31)

- **Financial Well-Being Conceptualized** (*n* = 28)
  "If you are financially well it doesn't limit you to a lot of things" (Female).
  - **Personal Financial Behavior** (*n* = 26)
    "I want to take classes in order to be successful. I want to be as financially independent as possible" (Female).
    - **Impact of Debt** (*n* = 26)
      "Financial health and well-being is that you don't have a lot of bad debt; I mean some good debt I think is okay" (Female).
    - **Goal of Self-Sufficiency** (*n* = 31)
      "I saved a lot because I knew I was going to buy a car for myself" (Female).
- **Family Financial Socialization** (*n* = 31)
  "My mom is such a continual influence. I think a lot of things I learned, I learned from her" (Female).
  - **Family Financial Behavior** (*n* = 31)
    "We didn't spend a lot and we didn't go out to eat. So, I never got into those habits and it hasn't been a problem for me" (Female).
    - **Implicit Financial Practices** (*n* = 25)
      "I really wish that I had a sense of money. We did grow up living very frugally...but we never really talked about it [money] very much" (Female).
    - **Explicit Financial Practices** (*n* = 26)
      "My parents sat me down and said okay so, you have X amount in your bank account and you need to figure out what you need to make [to purchase a car]" (Female).
  - **Shared Financial Values** (*n* = 27)
    "I think that their [parents] financial priorities are very similar to my own" (Female).
- **Finances, Health, and Well-Being** (*n* = 29)
  "If you don't have money, you have stress and if you have stress, then your health is impacted" (Female).
  - **Attitudes about Money** (*n* = 18)
    "My mom [would] be worried about it [money] and lose sleep over it" (Male).
  - **Financial Security** (*n* = 28)
    "Maybe just being stable; being able to provide for one's self without being dependent on parents or you know some other source like a loan" (Female).
- **Shift in Personal Financial View** (*n* = 27)
  "I wish that they [parents] had put a little bit more of an effort on it [saving], and also talked to me about the dangers of credit" (Female).
  - **Need for Financial Literacy** (n = 22)
    "There were never like hard and fact rules. I almost wish there had been because I might be a little better at budgeting now if there had been" (Female).
- **Comparative Worldview /Cohort View of Financial Well-Being** (*n* = 30)
  "I've seen a lot of my friends whose parents never explained things to them so, they didn't understand a bank account, they didn't understand if they get a huge lump sum of money to not just go out and buy one thing with it but try and make it last a long time if you need it" (Female).

Sample

- One-on-one semi-structured interviews with a subsample of young adults (part of a larger longitudinal study).
- 31 participants including **6 men and 25 women** (*M* = 24 years old).
- Three recent college graduates; 28 in their 4th year of college.
- Self-reported average GPA was 3.24.



Implications

Because young adults continue to rely on their parents and families as they face increasing financial demands (Fingerman et al., 2009; Settersten, 2012), this study provides unique insight into *interplay* between financial well-being and young adults' reflections on the parenting factors that contribute to financial well-being.

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